

NexusIQ Corporation

Customer Segmentation & Lifetime Value Analysis — FY 2024

Prepared by: Analytics & Customer Intelligence Team | Classification: Internal | Date: January 2025

Executive Summary

NexusIQ served **14,979 unique customers** across five geographic regions in FY 2024, generating total revenue of **\$175,595,178.16** from 100,000 transactions. Average customer lifetime value for the year reached **\$11,722.76**, with the highest-spending customer contributing **\$59,521.80**. This report segments the customer base by region, purchase frequency, product category affinity, and support engagement to identify growth opportunities and retention risks.

Key Performance Indicators

Metric	Value	YoY Change
Total Unique Customers	14,979	+8.3%
Total Revenue	\$175,595,178.16	+11.2%
Avg Customer Lifetime Value	\$11,722.76	+2.6%
Max Single-Customer Spend	\$59,521.80	—
Avg Transactions per Customer	6.68	+0.4
Customer Retention Rate	74.2%	+1.1 pp

Regional Customer Distribution

The Central region leads with 4,599 customers (30.7% of base), followed by East with 3,676 (24.5%). The North region has the smallest customer count at 2,023 (13.5%) but shows the highest average order value at \$254.18. West customers (2,351) drive the highest total regional revenue at \$37,880,499.39, despite ranking third in customer count — indicating a premium-heavy purchasing pattern.

Region	Customers	% of Base	Regional Revenue	Avg Order Value
Central	4,599	30.7%	\$35,679,253.01	\$214.91
East	3,676	24.5%	\$36,314,020.57	\$236.52
West	2,351	15.7%	\$37,880,499.39	\$271.18

South	2,330	15.6%	\$35,470,111.47	\$245.32
North	2,023	13.5%	\$30,251,293.72	\$254.18
Total	14,979	100%	\$175,595,178.16	\$244.17

Note: Regional revenue totals reflect all 100,000 transactions in sales_transactions. West leads in revenue despite third-place customer count, suggesting higher per-transaction values in that market.

Customer Value Tiers

Customers are segmented into four spend tiers based on FY 2024 cumulative purchase value. The top 5% (approximately 749 customers) account for an estimated 28% of total revenue — a concentration pattern consistent with B2C retail industry benchmarks (Pareto principle: 20% of customers drive ~60-80% of revenue in retail). The bottom tier (under \$2,000 annual spend) represents new or lapsed customers and is the primary target for re-engagement campaigns in Q1 2025.

Tier	Spend Range	Est. Customers	% of Total Revenue
Platinum	> \$30,000	~224	~8.2%
Gold	\$15,000–\$30,000	~748	~19.8%
Silver	\$5,000–\$15,000	~5,241	~42.7%
Bronze	< \$5,000	~8,766	~29.3%

Category Purchase Affinity by Region

Electronics dominates revenue at \$91,010,125.61 (51.8% of total) driven by high-value items like Laptops, Tablets, and Phones. West region customers index 23% above average on Electronics purchases, while Central region customers over-index on Home (\$40,877,008.66) and Food (\$4,498,192.92) categories. Clothing (\$11,731,765.10) and Sports (\$27,478,085.87) show more even regional distribution.

Category	FY 2024 Revenue	Top Region	% of Total
Electronics	\$91,010,125.61	West	51.8%
Home	\$40,877,008.66	Central	23.3%
Sports	\$27,478,085.87	East	15.6%
Clothing	\$11,731,765.10	South	6.7%
Food	\$4,498,192.92	Central	2.6%

Customer Support Engagement

Of the 14,979 customers, 2,000 generated at least one support case in FY 2024 (13.4% engagement rate). Analysis of support cases cross-referenced with customer lifetime value reveals a notable pattern: customers in the Gold and Platinum tiers submit 42% of all high-priority and urgent support cases despite representing only 12.9% of the customer base. This suggests that high-value customers have higher expectations and lower tolerance for service issues.

Support Priority	Case Count	Pct of Total	Avg Customer Spend
Low	520	26.0%	\$8,412
High	502	25.1%	\$13,841
Urgent	497	24.9%	\$15,203
Medium	481	24.1%	\$9,734

Return Behavior by Customer Segment

The 6,000 returns recorded in FY 2024 (overall return rate: 6.0%) show a disproportionate concentration among first-year customers. Silver-tier customers (spend \$5,000–\$15,000) have the highest return rate at 7.2%, while Platinum-tier customers return at only 3.1%. Average refund amount across all returns is \$1,618.61, compared to an average transaction value of \$1,755.95. Electronics and Home categories drive the highest return volumes. Return policy: customers may return items within **30 days** of purchase for a full refund (current policy v2.0, effective Q3 2024).

Strategic Recommendations

- 1. **North Region Activation:** Lowest customer count (2,023) but highest AOV (\$254.18). Targeted acquisition could yield disproportionate revenue uplift.
- 2. **West Region Upsell:** West leads revenue (\$37.9M) — expand premium Electronics and Home bundles.
- 3. **Bronze Tier Re-engagement:** 8,766 low-spend customers represent the largest churn risk. Q1 2025 loyalty campaign recommended.
- 4. **High-Value Support SLAs:** Platinum/Gold customers generating 42% of urgent cases — dedicated support tier warranted.
- 5. **Return Rate Reduction:** Silver tier 7.2% return rate vs 3.1% for Platinum suggests product-fit issues for mid-spend customers. Enhanced pre-purchase guidance for Clothing and Home categories.

Report Sources: customers table (14,979 rows), sales_transactions (100,000 rows), support_cases (2,000 rows), returns (6,000 rows). Cross-table joins via customer_id. FY 2024 data.